

that either the investment you hold is a better investment than cash or it is not. Buffett says that he is “quite content to hold any security indefinitely, so long as the prospective return on equity capital of the underlying business is satisfactory, management is competent and honest, and the market does not overvalue the business.”⁵⁷ (Recognize the tenets in that statement?) As he reminds shareholders, his favorite holding period is “forever.”

And with that memorable statement, Buffett takes us to the other side of the coin: Having made rational decisions about which stocks to buy, how should we think about managing the portfolio? That is the subject of the next chapter.

Notes

- [1.](#) Mary Rowland, “Mastermind of a Media Empire,” *Working Women*, November 11, 1989, 115.
- [2.](#) The Washington Post Company Annual Report, 1991, 2.
- [3.](#) Berkshire Hathaway Annual Report, 1992, 5.
- [4.](#) Berkshire Hathaway Annual Report, 1985, 19.
- [5.](#) Chalmers M. Roberts, *The Washington Post: The First 100 Years* (Boston: Houghton Mifflin, 1977), 449.
- [6.](#) Berkshire Hathaway Annual Report, 1991, 8.
- [7.](#) Ibid., 9.
- [8.](#) William Thorndike Jr., *The Outsiders: Eight Unconventional CEOs and Their Radically Rational Blueprint for Success* (Boston: Harvard Business Review Press, 2012), 9.110.
- [9.](#) Carol Loomis, “An Accident Report on GEICO,” *Fortune*, June 1976, 120.
- [10.](#) Although the 1973–1974 bear market might have contributed to part of GEICO’s earlier fall, its decline in 1975 and 1976 was all of its own making. In 1975, the Standard & Poor’s 500 Index began at 70.23 and ended the year at 90.9. The next year, the stock market was equally strong. In 1976, the stock market rose and interest rates fell. GEICO’s share price decline had nothing to do with the financial markets.
- [11.](#) Beth Brophy, “After the Fall and Rise,” *Forbes*, February 2, 1981, 86.